

KISAN VIKAS PATRA

Kisan Vikas Patra is a small saving scheme that was launched by the government to encourage long-term financial discipline in people, particularly in farmers. The objective was to offer a savings tool for those in rural parts of the country with no bank account. So, they could save for themselves using this instrument which is managed by the Indian Postal Department.

INTEREST	As of May 2020, KVP offers 7.7% p.a. However, one needs to check before investing about the latest interest rate. Principal doubles every 118 months (9 years and 10 months)
TENURE	KVP matures in 118 months. It returns double the amount invested in this time frame.
TAX TREATMENT	The returns generated by investing in KVP is completely taxable under ordinary income each year.
SUITABILITY	KVP is suitable for people who do not have access to the proper banking system and live in distant places where access to financial instruments is difficult. For most ZebraLearners, KVP will have better substitutes in Fixed Deposits and Debt Mutual Funds.
PURPOSE	Good for risk-averse individuals, who have surplus money and do not need it for a few years to come. However, there are much better alternates than KVP currently. KVP makes sense only when access to the banking system and banks is difficult. Otherwise, much better instruments exist. It can also be used as collateral to get loans.
PREMATURE WITHDRAWAL	Premature withdrawal of cash is allowed after 2.5 years from the day it is bought. The entire principal and the interest can be withdrawn. However, an interest rate that is slightly lower than agreed interest is paid out on premature withdrawal.
HOW TO BUY	We can visit banks or even select banks that can help us buy the same.